Correlated Trade and Geopolitics Driving a Fractured World Order

Danny Quah*

August 2024
[Link to latest version]

Abstract

This paper evaluates the hypothesis that, while geopolitical rivalry drives global fragmentation, trade interconnectedness holds together the world economy. The paper finds that, depending on circumstances, trade can contribute either centripetal or centrifugal force: Economic interconnectedness cannot be relied upon to provide automatic glue for the global economy. The paper shows that over the last fifty years trade, or economic forces more generally, initially worked together with geopolitics to help coalesce the interests of both advanced and developing nations. However, multipolarity and multilateralism since the beginning of the millennium have altered those dynamics: economic and geopolitical forces still work together but they now exacerbate global fragmentation. The paper advances three proposals to help repair global fracture: (a) seek inadvertent cooperation; (b) nudge Great Powers away from gridlock; and (c) build systems around plurilateralism or pathfinder multilateralism.

JEL: F13, F15, F50, F52, F53, F55, F60, Y10,

Keywords: centrifugal, centripetal, China shock, inadvertent cooperation, multilateralism, multipolarity

---

*Lee Kuan Yew School of Public Policy, NUS, D.Quah@nus.edu.sg. I thank Dani Rodrik, Alessio Terzi, and members of the IEA New World Order group for helpful comments. The author is also Faculty Associate, Centre on Asia and Globalisation.

1 Introduction

Public discourse, international relations scholarship, and global policymakers have observed geopolitical rivalry in the 2020s threatening to worsen global fragmentation. The IMF estimated that even short of open warfare the result could be considerable loss in global well-being. Fragmentation "over the long term could reduce global GDP by up to seven percent, or USD7.4 trillion in today's dollars, the equivalent of the combined GDPs of France and Germany and more than three times the size of the entire sub-Saharan African economy" (Georgieva, 2023).

US-China geopolitical rivalry is generally referred to as a principal cause for this fragmentation, with friend-shoring, de-risking, and decoupling driving the rise of trade barriers worldwide. Over the course of the three years from 2019 through 2022—coincident with a COVID pandemic that exacerbated geopolitical tensions—international trade restrictions rose three-fold (Georgieva, 2023, p. 136).

At the same time, however, these geopolitical dynamics driving global fragmentation have had to contend with forces working in the opposite direction. By many accounts economics has provided the glue to hold together the global economy. For instance, a leading international relations scholar, Joseph Nye, noted of decoupling that "it would be foolish to think we can separate our economy completely from China without enormous costs" (Nye, 2021). These enormous costs can be viewed alternatively as the price of fragmentation. When price is sufficiently high, rational agents will not undertake actions that incur those costs. Indeed, the title of IMF Managing Director Kristalina Georgieva's 2023 *Foreign Affairs* article is "The Price of Fragmentation" (Georgieva, 2023). Gita Gopinath uses the same reasoning on costs to argue that if geopolitics-driven fragmentation produces individual gains, then when set against the real costs those gains are illusory. Indeed, individual gains from fragmentation, if any, are merely relative in that "even those who benefit from fragmentation could be left with a larger slice of a much smaller pie. In short, everyone could lose" (Gopinath, 2024).

For brevity call this the IMF view:

> *Geopolitical rivalry is fragmenting the world, but economics will provide the glue that holds together the global economy and thus world order.*

Insofar as this description conforms to many others' sense of the state of the world, this can also be regarded as conventional wisdom.

The current paper investigates the relation between geopolitics and economics as forces jointly driving world order. The lead question of interest is, have geopolitics and economics always driven world order in opposite directions, one splintering, the other coalescing? In other words, how conventional is the conventional wisdom given in, among others, Georgieva (2023), Gopinath (2024), and Nye (2021)?

I will argue that the unexpected answer to the second question is that the conventional wisdom/IMF view is at odds with global experience of the last five decades. I will provide evidence to characterize the last fifty years as divided into two distinct periods: First, 1980–2010 was a thirty-year period when both geopolitics and economics drove world order to ever greater coalescence; I will call this the **Centripetal Era**. Second, 2011 on, when both geopolitics and economics drove world order to ever greater framentation; I will call this the **Centrifugal Era**.

The consequences of overturning the conventional view are useful to make explicit. If the current era is indeed Centrifugal and economic ties are themselves splintering world order, then seeking to develop ever greater economic interconnectedness, without recalibrating underlying fundamentals, is doomed to fail. If anything, raising trade ties will produce only perverse unexpected results, serving to further fracture the world rather than holding together the global economy.

More effective policies draw on mechanisms that target repairing fragmentation beyond just, say, strengthening trade ties. In this paper's analysis, such policies are three-fold: First, seek inadvertent cooperation. Second, identify and shelve zero-sum propositions (nothing good remains to be done there); similarly, nudge away from Prisoners Dilemma or Epic Fail outcomes. Third, build systems around plurilateral principles, or constrained multilateralism. When the first-best in multilateralism is no longer available, seek second-best solutions in restricted problem domains.

The remainder of this paper is organized as follows. Section 2 documents how convergence due to geopolitical and economic forces in the early part of the last half-century produced the Centripetal Era. World order coalesced. Section 3 describes how after that Centripetal Era, both geopolitical and economic forces reversed direction so that the two now drive fracture in the international system. A critical feature in this narrative is that the

centripetal force in trade turned centrifugal. This Centrifugal Era is characteried by forces that contrast with the IMF view that trade remains a force for coalescence still. This section also unpacks a number of reasons for the parallel reversal in both geopolitical and economic forces in their impact on the splintering of the international system.[1] Section 4 advances three proposals to mitigate further global fracture, given that trade—the large, already extant natural glue to the international system—might no longer be effective. Finally, Section 5 provides a brief conclusion.

2 Convergence

Implicitly powering the conceptualization of world order and the global economy in the 1980s were three critical ideas: *political convergence*, *economic efficiency*, and, *comparative advantage*. These, I will argue, drove the coalescence of world order in this period, the Centripetal Era.

Political convergence was the hypothesis that as incomes rise and economic development progresses, societies would tend naturally to become democratic (Lipset, 1959). This provided resolution on the challenge posed by John F. Kennedy, that of the "long twilight struggle" between democracy and freedom, on the one hand, and totalitarianism and tyranny on the other (at least as popularly understood). Just let nations develop.

Economic efficiency did not mean "high productivity" or "advanced technology". Instead, it referred to an imperative to seek efficiency in the sense that economists understand, i.e., Pareto optimality. Outcomes had to be, rationally, win-win. Coupled with the idea of political convergence, every victory on economic efficiency also meant further advance on the march to democracy worldwide. Finally, **comparative advantage**, too, provided reference to a key concept in economics, namely that all nations, no matter how

[1] For economists who wish to consider my descriptions in more technical form, it might be helpful to think as follows. World order—the international economic system, together with the norms and conventions determining relations across nations—is a point in a high-dimensional topological space. Over time, world order evolves as a function of its past together with a vector of driving variables, including among them geopolitical and economic forces. The latter might be exogenous or causally prior with respect to world order or, more typically, themselves be jointly determined, i.e., world order together with geopolitical and economic forces can be viewed as a vector autogression in an appropriately-defined topological space. This paper describes the features of the propagation mechanism and the impulses determining that vector autogression, and hence the dynamics of world order.

differentially-resourced and under-developed initially, would gain from participating in the global system of trade and capital flows. Globalization—the construct that sought to make anything produced anywhere available to everyone everywhere—was therefore the appropriate building block for the emerging international system.

In this view, these three ideas would form a self-reinforcing, globally-consistent virtuous cycle of policy and practice, driving both prosperity and democracy.[2]

The system did not promise that everyone would achieve the same levels of well-being, only that the norm would be win-win outcomes and tendency towards democracy in the political systems of economically successful nations. The imperatives of economic efficiency and comparative advantage drove ever more intense and widespread globalization, so that cross-country flows of trade and foreign investment rose to ever greater heights.

Early data from the 1980s and 1990s appeared to confirm success in achieving the goals of a coascelent international system. Admittedly, rather than overall and absolute economic convergence, studies of cross-country income dynamics revealed persistent or growing disparities (e.g., Pritchett, 1997); a middle-income trap (Asian Development Bank, 2011); and even twin-peakedness in the cross-country distribution of incomes (Quah, 1996, 1997) so that there appeared to be distinct clusters of convergence, with at least one grouping of countries stagnating at lower income levels.

All these studies, however, were of per capita incomes, treating each nation as a distinct datapoint: this meant that China, with over a billion people, was treated on equal basis with, say, Haiti with under 10 million.

[2]Popular writing in the 1990s sometimes associated variants of the thinking in the text with neoliberalism, the Washington Consensus, and other related labels. Many of the ideas in those are, however, different from each other, and different again from the current paper. Importantly, the text considers ends and outcomes, but is silent on the pathways to achieve those goals. There is, for instance, no suggestion in the current paper that free markets and fiscal discipline—key components of neoliberalism—are the only means by which to achieve efficiency and to leverage comparative advantage. Nor does the current paper suggest that the result of increasing democracy is a precondition needed to guarantee economic success. The Washington Consensus did not put itself forward as a plank for building world order. Instead it sought only to provide concrete policy proposals to deal with specific problems facing, in the main, Latin American economies in special circumstances. More detailed analyses are available elsewhere that unpack the differences across neoliberalism, the Washington Consensus, and other similar labels applied for this period: Naim (1999), Rodrik (2006), Spence (2021), and Williamson (2002).

Data at a more disaggregated level provided more revealing insight on economic convergence. Quah (2011) calculated the world's economic center of gravity based on urban cities and rural centers, and used its dynamics to map out the dramatic change in the world's economic landscape in the decades from the 1980s. The key finding was that the rapid rise of incomes outside the Transatlantic region had by 2008 pulled the world's economic center of gravity 5,000km east from its traditional 20th-century resting point in the Atlantic Ocean, midway between the US and Western Europe. Over this same period China's economic growth had lifted nearly 700mn of its people out of extreme poverty (Chen and Ravallion, 2010). Thus, as a narrative of individual incomes and economic well-being in the three decades after 1980 the overarching story was, indeed, convergence.

In parallel with these technical findings, the narrative on political convergence also appeared borne out. Fukuyama (1992) reported two key conclusions: first, "a remarkable consensus concerning the legitimacy of liberal democracy as a system of government had emerged throughout the world"; and, second, market mechanisms targeting economic efficiency and leveraging comparative advantage had produced "unprecedented levels of material prosperity, both in industrially developed countries and in countries that had been, at the close of World War II, part of the impoverished Third World."

Alongside these global successes in world order, one nation, the United States of America, emerged as the unique key and critical player in the international system. The US had become the de facto hegemon or leader in unipolar world order. From a theoretical economics perspective, such hegemony might be an inelegant and ad hoc add-on to a system otherwise already solidly founded on principles of laissez faire. The economic historian, Charles Kindleberger, had earlier justified this kind of international leadership on the grounds of *Hegemonic Stability Theory*, the idea that the international system, like any macroeconomy, would naturally undergo bouts of instability, for which would be needed a sufficiently large agent to be consumer and lender of last resort or, more generally, provide the global public good of international policy-making (Kindleberger, 1973, 1996).[3]

[3] A different perspective that connects these observations—convergence and American unipolarity—is that it was not just the power of geopolitical and economic ideas that brought about a coalescent world order. Instead, it was America's unipolarity that allowed the US to take up the agency in building that world order. Put differently, US

Clinton (2000) provided one of the most vivid and memorable depictions of confidence in political convergence in this Centripetal Era. In his speech that year at the Paul H. Nitze School of Advanced International Studies of the Johns Hopkins University, Clinton spoke on China might try to buck the trend on political convergence, by seeking to contain information flow on the worldwide web: "Now there's no question China has been trying to crack down on the Internet. Good luck! That's sort of like trying to nail Jell-O to the wall." That same speech made clear the prevailing thinking on economic and geopolitical alignment: "China is not simply agreeing to import more of our products. It is agreeing to import one of democracy's most cherished values, economic freedom. The more China liberalizes its economy, the more fully it will liberate the potential of its people—their initiative, their imagination, their remarkable spirit of enterprise. And when individuals have the power, not just to dream, but to realize their dreams, they will demand a greater say."

In conclusion, the three decades following 1980 saw remarkable success in political convergence, economic efficiency, and comparative advantage driving a coalescent, converging world order. There were of course notable exceptions (e.g., Rodrik, 2006), but in the main this was indeed the Centripetal Era. It is not that in this period geopolitics no longer mattered (e.g., Luce, 2023). Instead, it was that geopolitical and economic forces aligned and both worked to produce convergence and coalescence in the international system.

power was the exogenous variable causal for world order in the Centripetal Era. In 2005 Ikenberry (2005) described this as "American global power—military, economic, technological, cultural, political—is one of the great realities of our age. Never before has one country been so powerful or unrivaled. The United States emerged from the Cold War as the world's only superpower and grew faster than Europe and Japan in the decade that followed. American bases and naval forces encircle the globe. ... For the first time in the modern age, the world's most powerful state can operate on the global stage without the fear of counterbalancing competitors. The world has entered the age of American unipolarity. The United States is not just a powerful state operating in a world of anarchy. It is a producer of world order." In the remaining sections of this paper I will be emphasising the turnaround in geopolitical and economic forces for overturning the Centripetal Era. To keep to this paper's length restrictions, I will leave for others to argue, not inconsistent with my own emphasis, what I think to be the natural continuation of Ikenberry's unipolarity view, that it was instead the change in America's approach to world order that brought about the end of the Centripetal Era.

3 Shifts

What shifted the economic and geopolitical forces from the coalescing functions they served in the Centripetal Era?

This section will argue that that very success put in motion countervailing dynamics that would, in turn, bring about a reversal in direction of those same forces.

A first part of this argument is straightforward. By the late 2010s it had become obvious China was showing no democratic tendencies even as it modernized, grew rich, and developed advanced technologies. However, instead of this being seen as just a datapoint inconsistent with a specific academic hypothesis (Fukuyama, 1992; Lipset, 1959), it grew instead to become a driving force in Great Power rivalry. Because of its sheer size, China's political non-convergence presented, in some policymakers' views, unacceptable threat and ideological challenge to the incumbent hegemonic Great Power, the US. America's policy towards China shifted from engagement—increasing trade and investment and people-to-people ties—to instead balancing, i.e., undertaking actions to protect itself against China's present and future capabilities.

Actions undertaken by China simultaneous with and subsequent to this turnaround of views, might have been ambiguous in interpretation under a regime of engagement. However, they served primarily to elevate concerns under the new atmosphere of balancing. These markers included China's emplacement-construction and greater push on competing territorial claims in the South China Sea; aggressive wolf-warrior diplomacy more generally; concerns over the two X's—Xinjiang and Xi Jinping, the former for China's ethnic management policies, the latter for centralisation of political power, including Xi's assumed association with Document no. 9 (Buckley, 2013); restrictions on information flows in the COVID pandemic; and China's dramatically rising military power. Obviously, comparable actions are seen elsewhere, including in the US itself, but these attracted heightened attention because they appeared to represent a change in the muscularity of China's geopolitical stance. Taken together with the fear that China's stubborn political non-convergence represented a statement of international intent, these markers reinforced the new vicious cycle of suspicion of China.[4]

[4] An illustration of both the ambiguity in some observers' eyes but the extreme risk

By 2018 the US position on rivalry with China had concretized into policy statements such as those represented by the US Secretary of Defense James Mattis in 2018 where "Great Power competition, not terrorism, is now the primary focus of US national security." On China, in particular the understanding had become one where America and the West "face growing threats from revisionist powers (...) that (...) seek to create a world consistent with their authoritarian models, pursuing veto authority over other nations' economic, diplomaicy, and security decisions." and that "persist in taking outlaw actions that threaten regional and even global stability. Oppressing their own people and shredding their own people's dignity and human rights, they push their warped views outward" (US Department of Defense, 2018).

Such views obviously jar in comparison to Clinton's more relaxed "Jell-O to the wall" understanding on limitations to the disruptive or commanding power of states such as China. They also stand in stark contrast to earlier views held by American leadership that had looked to bring China into the international system. Richard Nixon, for instance, had written in 1967 "we simply cannot afford to leave China forever outside the family of nations, there to nurture its fantasies, cherish its hates and threaten its neighbors. There is no place on this small planet for a billion of its potentially most able people to live in angry isolation" (Nixon, 1967).

Circumstances have thus reversed the train of argument in political convergence, and geopolitics has turned into a force for fragmentation rather than coalescence.

All nations are, of course, increasingly empowered by technology to be able to undertake "outlaw actions that threaten regional and even global

in others' lies in China's August 2021 demonstration of its FOBS or Fractional Orbital Bombardment System capabilities. FOBS is a system initially developed by the Soviets in the 1960s. It refers to the launch of a nuclear warhead off a hypersonic glide vehicle in low earth orbit. China's approach to FOBS sacrifices accuracy for range, speed, and undetectability, and so is generally regarded as rendering FOBS less suited for first-strike action, but elevates its second-strike retaliatory capability (Kaushal and Cranny-Evans, 2021). Indeed, China's own public announcements confirm this general perception not of pre-emptive first strike but of retaliation, that FOBS allows "using nuclear forces (... so) US forces cannot crush China" and that "when the Chinese people have this weapon (...), nuclear blackmail toward the people of the world will be completely destroyed" (Fravel, 2016). One reading of these developments is that China is responding endogenously to US action and seeks only to achieve equilibrium that is safer for all. Another, obviously, is that China is actively seeking primacy in a way that needs to be countered.

instability" (as described in, e.g., US Department of Defense, 2018). The key question should be, What are the incentives of different nations to do so? When Richard Nixon wrote the passage cited, China was indeed a dangerous country: The entire nation was in the throes of a violent Cultural Revolution that caused over a million additional deaths and the arbitrary persecution of tens of millions; it was feared to be actively exporting Communist revolution. China obviously does none of these things now. It has instead brought over 650mn of its people out of extreme poverty. Its most notable exports are still feared but for their competitiveness and economic impact on other nation's industries, not for their bring incompatible ideology.

Building on this last observation helps explain how the economic forces, too, have reversed direction. On the one hand, the IMF view continues to emphasise economic efficiency and comparative advantage: these still give rise to outcomes that benefit all sides, at the level of aggregate well-being, and thus remain forces for coalescence. At the level of aggregate or international well-being, indeed the costs of decoupling from trade relations remains high.

However, at the level of individual agents in the US or other developed-economy nations, the lived experience from trade differs from the more obviously positive effects at the aggregate level. Instead, for agents at the micro level what trade brings is not economic efficiency or the welfare impact of comparative advantage, but shifted price ratios. When trade occurs, relative prices change—otherwise, trade would have no effect. But any change in relative prices means some agent somewhere experiences reduced prices in what they produce and sell (Quah, 2024a). This translates for affected individuals into perceptions of the so-called China Shock—falling employment, shuttered industry, displaced communities.

In the analysis proposed in this paper, it is this price disturbance, rather than income inequality or aggregate bilateral trade deficits that matter to economic agents.[5] In my argument, the relevant price shock can occur to those at the top of the income distribution as much as it can to the bottom: Thus, an effect on income inequality is neither necessary nor sufficient for political resistance to trade. Similarly, the price shock from trade can affect

[5]What I describe corresponds to lines of reasoning in, e.g., Adao et al. (2022), Autor et al. (2013), and others. However, again, my description emphasises price effects directly rather than working through inequality or aggregate trade balances.

people's well-being whether or not the trade balance is in surplus or deficit, whether a trade deficit is large or small. Such a price shock is, of course, not inconsistent with standard concerns over inequality and trade deficits, but it can take effect regardless of what happens to inequality and trade deficits.

What then has actually happened to price dynamics with trade? Research on prices and the political consequences of trade is, unfortunately, not as widely available as that on either inequality or trade balances. Fig. 1 shows the dynamics of US import prices, of imports from China, Mexico, and Canada, alongside the US Consumer Price Index.[6]

A first observation is that import prices don't uniformly remain low. In the Figure, in the normalization I adopt, all price indexes begin at 100 in 2002. But obviously both Mexico and Canadian import prices have shown inflation higher than even that in the US CPI. This is not necessarily a puzzle: composition of import bundles change and when shifting into higher technology products, say, import price inflation can reasonably be high. Over the entire time sample, import prices from Mexico and Canada have, separately, shown both acceleration and slowdown in cycles over time.

The most striking observation, however, is that for imports from China. Price inflation there has been, in essence, zero over the entire two-decade time period, in contrast to that in US CPI of 65%, Canada import prices of 68%, and Mexico of 49%. China imports into the US are dramatically cheap, even as in 2024, almost half of that flow is now in machinery and mechanical alliances, not just low-quality toys and textiles. Keeping import price low in this way is all the more remarkable for the compositional change that must have occurred in this time towards higher technology and higher quality. Towards the beginning of this time period, the view on China's production had been that "with a per capita income at roughly the same level as Guyana and the Philippines, most Chinese did not have enough money to buy advanced technological products - let alone the resources to invent them" (Allison et al., 2021).

[6] All series are from the US Census Bureau USA Trade Portal. Import prices are monthly import price indexes by origin, all industries, for China, Mexico, and Canada, respectively while the US Consumer Price Index is the CPI for all items less food and energy taken as the US city average, for all urban consumers. The series are normalized to all begin at 100 in Dec 2003, the earliest date for which China and Mexico data are available.

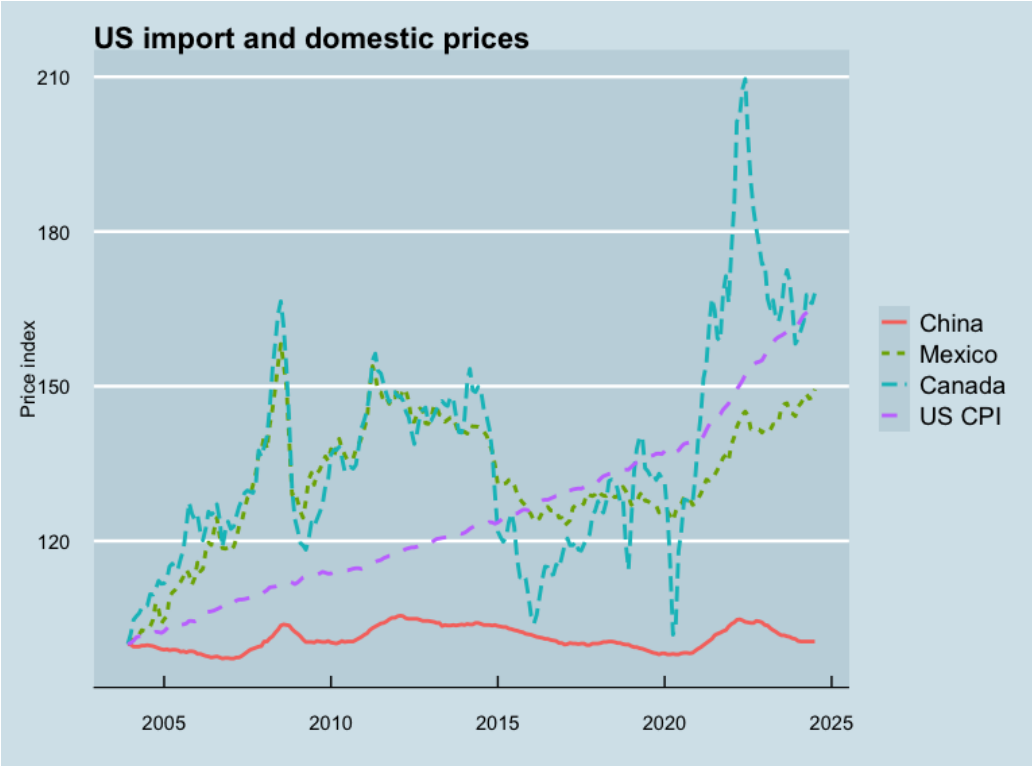

Figure 1: US import and domestic prices. The graph shows, from 2003 to 2024, prices of imports into the US from China, Mexico, and Canada, alongside the US Consumer Price Index. In the two decades graphed, China's import prices into the US have remained flat, ending 0.5% higher at the end than at the beginning. In contrast, imports from Canada have at times seen price inflation higher even than in the US Consumer Price Index, ending the two-decade period with prices 65% higher than at the beginning. Imports from Mexico, similarly but not as extreme, had prices ending 49% higher than at the start.

Two concrete implications are available: China's exports to the US have strongly benefited US consumers, keeping prices low and the cost of living down. However, by exactly the same token, the "China Shock" is considerable for American workers in related industries as China's exports to the US—evolving though those might be. Regardless of what happens to inequality overall or the bilateral trade deficit between the US and China, it is natural from these price dynamics that those workers see jobs vanishing, industries dismantled, and ghost towns emerging where middle-class communities once thrived.

On the broader geo-economics dimension too incentives facing nations had turned by the late 2010s. The earlier themes of economic efficiency and comparative advantage were ones where every participant could approve of the natural resulting outcome, as that outcome would inevitably provide advantage to them just as to all others in the exchange.

Just as China grew rich, others did so as well, spreading economic prosperity and thus agency and capability, generally, to yet more parts of the world. This does not mean other parts of the world were growing to become direct rivals of the global hegemon, only that the distribution of power across the global landscape became more diffuse. A shift away from US unipolarity does not have to be towards one or two other distinct poles, the same way that, mathematically, a probability distribution growing less single-peaked does not mean that it has to become twin- or triple-peaked, merely that the distribution has become flatter. Moving away from unipolarity does not mean rising bipolarity.

This increasing multipolarity—a shift in the distribution of capabilities towards a more uniform shape, rather than remaining single-peaked at only the US, as described earlier with reference to Ikenberry (2005)—is of courses just another way to describe economic convergence: There is lessening prominence of poles in the distribution of power.

Multilateralism—the idea that there is a level playing field, and that all players obey the same set of rules—emerged from the principles of economic efficiency and comparative advantage. And, it was multilateralism that allowed economic convergence to occur from the early 2000s on. That economic convergence, in turn, produced multipolarity, a flatter distribution of power and capabilities across all nations in the global cross-section.

But, paradoxically it is this combination of multilateralism and multipolarity that is itself generating a pull-back for further coalescence on the part

of some nations, especially the advanced countries. Increasing multipolarity means , as the IMF puts it, that "The benefits advanced economies derive from supporting global public goods, such as international trade, are increasingly shared with other countries" (Gaspar, Hagan, and Obstfeld, 2018). At the margin, turning away from continuing to support the provision of global public goods such as the international trading system means a retreat from the globalization and multilateralism that have been so powerful for coalescing the global economy.

4 Proposals

In the preceding sections I have developed the argument that in the earlier period 1980–2010, both geopolitics and economics worked together and stregthened the coalescing global economy and world order, but that in the decades since, these same forces have reversed direction and contributed, again in tandem, to fragment the international system. My argument contrasts with what I call the IMF view, which suggests economics remains a centripetal force even as geopolitics has shifted from centripetal to centrifugal, from coalescing to fragmenting.

With both geopolitics and economics now centrifugal, the global challenge is no longer that of choosing the incorrect point on a tradeoff locus but instead that nations end up in a Prisoners Dilemma (or Epic Fail) gridlock.

Armstrong and Quah (2023) and Quah (2024b) suggest that in such a situation, there are three classes of policy options. First, seek inadvertent cooperation. Obviously, in a Prisoners Dilemma outcome, if all players could contract to collaborate, equilibrium could shift to an outcome where all improve their well-being. A fragmented world order, however, is unlikely to be one where contractual obligations are trusted. So, instead, the international community should seek cooperation without the kind of full agreement such as might be provided in a binding contract. But economists are accustomed to such arrangements. The outstanding example is that described by Adam Smith's characterisation of how "it is not from the benevolence of the butcher, the brewer, or the baker, that we expect our dinner, but from their regard to their own interest." An example of such inadvertent cooperation is provided in the 2020s in the South China Sea, where different individual nations have overlapping territorial claims. Instead of

giving in to all-out rivalry—overlapping territorial claims are, after all, a zero-sum proposition—Southeast Asian nations have been able to agree on a Code of Conduct for that body of water, and continue to seek China's participation.

Second is a class of possibilities for navigating a fractured international system by looking to Third Nations—those that are not Great Powers in direct contention—to nudge Great Powers out of Prisoners Dilemma gridlock (Quah, 2024b). Through small side-payments that, in the cooperative outcome might not even be made but whose presence continue to be guaranteed, gridlock can be averted and the usual Prisoners Dilemma outcome removed as a possible.

Third are the options that recognize how a fragmented global economy makes it impossible to have truly universal multilateral solutions, but that spirit of multilateral problem-solving can be maintained in smaller subsets of the international community, and over restricted problem domains. These solutions can be thought of as providing pathfinder, plurilateral outcomes in the absence of full and complete multilateralism. An example of this is the World Trade Organization's Multi-party Interim Appeal Arbitration Agreement (MPIA). In Mar 2020, with the WTO Appellate Body understaffed and non-functioning so that dispute resolution cases were not being heard, sixteen WTO members set up the MPIA to decide on cases between just the members of group itself.

5 Conclusion

While many observers and policymakers have acknowledged the risks of a fragmenting global economy and a fractured world order, there is also the assumption that it is geopolitics that has provided the centrifugal forces pulling apart the international community.

This paper has argued that it is large geopolitical and economic forces that first provided centripetal forces coalescing world order, and then that those same forces turned around and began to fragment the international system from the early 2010s. This is in contrast to what this paper has called the IMF view, where economic exchange across nations makes clear the benefits to trade and alerts actors to the costs of economic decoupling and deglobalization.

The mechanism suggested in this paper for this centrifugal force to

economics hinges on effects similar to the economic hypothesis that trade increases inequality, and the everyday observation that trade deficits raise political objection. In the US and the developed west, such effects are commonly thought of as the "China Shock", since China is the large trading economy associated with such effects. However, the "China Shock" mechanism proposed in this paper is much simpler than in either a narrative of inequality or trade deficits.

That economics no longer provides a glue to hold together the global economy means that fragmentation risks to the global economy can no longer be mitigated by recalibrating trade patterns. It is, instead, trade itself that is perceived to be the problem. This paper suggests a three-prong line of attack (a) inadvertent cooperation; (b) Third Nation nudging out of gridlock; and (c) pathfinder or plurilateral adjustments to multilateralism.

References

Rodrigo Adao, Paul Carrillo, Arnaud Costinot, Dave Donaldson, and Dina Pomeranz. Imports, exports, and earnings inequality: Measures of exposure and estimates of incidence. *Quarterly Journal of Economics*, 137 (3):1553–1614, August 2022.

Graham Allison, Kevin Klyman, Karina Barbesino, and Hugo Yen. The Great Tech Rivalry: China vs the US. Research report, Avoiding Great War Project, Harvard Kennedy School, Cambridge, December 2021.

Shiro Armstrong and Danny Quah. Economics for the Global Economic Order: The Tragedy of Epic Fail Equilibria. Working paper, Lee Kuan Yew School of Public Policy, November 2023.

Asian Development Bank. *Asia 2050: Realizing the Asian Century*. Asian Development Bank, August 2011.

David Autor, David Dorn, and Gordon Hanson. The China Syndrome: Local labour market effects of import competition in the United States. *American Economic Review*, 103(6):2121–2168, November 2013.

Chris Buckley. China Takes Aim at Western Ideas. *New York Times*, August 2013.

Shaohua Chen and Martin Ravallion. The Developing World Is Poorer Than We Thought. But No Less Successful In The Fight Against Poverty. *Quarterly Journal of Economics*, 125(4):1577–1625, November 2010. doi: 10.1162/qjec.2010.125.4.1577.

William J. Clinton. Trade is the Smart Thing. *New York Times*, March 2000.

M. Taylor Fravel. *Active Defense: China's Military Strategy since 1949*. Princeton University Press, Princeton, 2016.

Francis Fukuyama. *The End of History and the Last Man*. The Free Press, Macmillan, London, 1992.

Vitor Gaspar, Sean Hagan, and Maurice Obstfeld. Steering the World Toward More Cooperation, Not Less. *IMF Blog*, September 2018.

Kristalina Georgieva. The Price of Fragmentation. *Foreign Affairs*, September 2023.

Gita Gopinath. How Policymakers Should Handle a Fragmenting World. *Foreign Policy*, February 2024.

G. John Ikenberry. Power and liberal order: America's postwar world order in transition. *International Relations of the Asia-Pacific*, 5(2): 133–152, May 2005. doi: 10.1093/irap/lci112.

Sidharth Kaushal and Sam Cranny-Evans. China's New Hypersonic Capability. *Royal United Services Institute*, October 2021.

Charles P. Kindleberger. *The World in Depression, 1929-1939*. University of California Press, Berkeley, 1973.

Charles P. Kindleberger. *World Economic Primacy 1500-1990*. Oxford University Press, Oxford, 1996.

Seymour Martin Lipset. Some social requisites of democracy: Economic development and political legitimacy. *The American Political Science Review*, 53:69–105, March 1959.

Edward Luce. The New Washington Consensus. *Financial Times*, April 2023.

Moses Naim. Fads and Fashion in Economic Reforms: Washington Consensus or Washington Confusion? *IMF*, 1999.

Richard Nixon. Asia After Viet Nam. *Foreign Affairs*, 46(1):111–125, 1967.

Joseph S. Nye. With China, a 'Cold War' Analogy is Lazy and Dangerous. *New York Times*, November 2021.

Lant Pritchett. Divergence, Big Time. *Journal of Economic Perspectives*, 11:3–17, 1997.

Danny Quah. Twin peaks: Growth and convergence in models of distribution dynamics. *Economic Journal*, 106:1045–1055, July 1996.

Danny Quah. Empirics for Growth and Distribution: Stratification, Polarization, and Convergence Clubs. *Journal of Economic Growth*, 2(1): 27–59, March 1997.

Danny Quah. The Global Economy's Shifting Centre of Gravity. *Global Policy*, 2(1):3–9, January 2011. doi: 10.1111/j.1758-5899.2010.00066.x.

Danny Quah. 'Export-led Growth': The Trade-Technology Relation in Small and Poor Economies. Working paper, Lee Kuan Yew School of Public Policy, Singapore, May 2024a.

Danny Quah. Economic principles for a new world order of multipolarity and multilateralism. Working paper, Lee Kuan Yew School of Public Policy, Singapore, April 2024b.

Dani Rodrik. Goodbye Washington Consensus, Hello Washington Confusion? A review of the World Bank's *Economic Growth in the 1990s: Learning from a Decade of Reform*. *Journal of Economic Literature*, 44(5):973–987, December 2006.

A. Michael Spence. Some thoughts on the Washington Consensus and subsequent global development experience. *Journal of Economic Perspectives*, 35(3):67–82, December 2021.

US Department of Defense. Remarks by Secretary Mattis on the National Defense Strategy. *US Department of Defense*, January 2018.

John Williamson. Did the Washington Consensus Fail? *Peterson Institute for International Economics*, November 2002.